

ACCA IFRS DIPLOMA JUNE 2024 Questions

1 of 4

Alpha is preparing its consolidated statement of financial position as at 31 December 20X8.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Draft SOFP – draft statements of financial position (SOFP) for Alpha and Beta as at 31 December 20X8.
2. Alpha's investment in Beta – details of Alpha's investment in Beta.
3. Beta goodwill – details of an impairment review of the goodwill on acquisition of Beta.
4. Inter-company trading – details of trading between Alpha and Beta.
5. Alpha hedge – details of the hedge of a future firm commitment taken out on 30 September 20X7.

This information should be used to answer the question requirement within the response option provided.

2. Draft SOFP

Note: This spreadsheet has been copied into the spreadsheet Response Option

Statements of financial position at 31 December 20X8

	Alpha \$'000	Beta \$'000
Assets		
Non-current assets		
Property, plant and equipment (Exhibit 2 and 5)	500,000	260,000
Financial assets (Exhibit 2)	210,000	nil
	<u>710,000</u>	<u>260,000</u>
Current assets		
Inventories (Exhibit 4)	125,000	90,000
Trade receivables	100,000	80,000
Cash and cash equivalents	40,000	30,000
	<u>265,000</u>	<u>200,000</u>
Total assets	<u>975,000</u>	<u>460,000</u>
Equity and liabilities		
Share capital (\$1 shares)	200,000	120,000
Retained earnings	295,000	85,000
Other components of equity	80,000	35,000
	<u>575,000</u>	<u>240,000</u>
Total equity	<u>575,000</u>	<u>240,000</u>
Non-current liabilities		
Long-term borrowings	150,000	60,000
Deferred tax	100,000	40,000
Total non-current liabilities	<u>250,000</u>	<u>100,000</u>
Current liabilities		
Trade and other payables	90,000	80,000
Current tax payable	60,000	40,000
Total current liabilities	<u>150,000</u>	<u>120,000</u>
Total liabilities	<u>400,000</u>	<u>220,000</u>
Total Equity and liabilities	<u>975,000</u>	<u>460,000</u>

2. Alpha's investment in Beta

On 1 January 20X6, Alpha acquired 90 million shares in Beta and gained control of Beta. Alpha made a cash payment of \$207.9 million to acquire these shares. Alpha incurred legal costs of \$2.1 million relating to the acquisition of Beta. Alpha included these legal costs as part of the carrying amount of its investment in Beta in its own statement of financial position.

On 1 January 20X6, the individual financial statements of Beta showed a balance on retained earnings and other components of equity of \$35 million and \$25 million respectively. On 1 January 20X6, the carrying amounts of the individual assets and liabilities of Beta in its own financial statements were the same as their fair values with the exception of:

- Property, plant and equipment which had a carrying amount of \$90 million and a fair value of \$108 million. The estimated useful life of this property, plant and equipment at 1 January 20X6 was four years.

- An internally developed brand name which had a fair value of \$30 million on 1 January 20X6. The directors of Alpha estimated that the brand name had a useful life of ten years from 1 January 20X6.

The fair value adjustments should be regarded as temporary differences for the purposes of computing deferred taxation. The relevant rate of income tax to apply is 20%. The directors of Alpha elected to measure the non-controlling interest in Beta on 1 January 20X6 using the proportionate share of net assets method.

3. Beta goodwill

Three years after acquisition, on 31 December 20X8, the directors of Alpha carried out an impairment review of the goodwill on acquisition of Beta. For the purposes of the impairment review, the directors of Alpha considered that Beta was a single cash-generating unit.

The results of the impairment review at 31 December 20X8 showed the following:

	CGU
	\$'000
Value in use	305,600
Fair value less costs of disposal	280,500

No impairment of the goodwill on acquisition of Beta had been necessary on 31 December 20X6 or 31 December 20X7.

4. Inter-company trading

Alpha sells products to Beta. Alpha applies a mark-up of one-third to the cost of these products when invoicing them to Beta. On 31 December 20X8, the inventories of Beta included products which had been purchased from Alpha. The invoiced amount of these products by Alpha to Beta was \$20 million.

At 31 December 20X8, there were no amounts owing by Beta to Alpha in respect of the purchase of these products.

5. Alpha hedge

On 30 September 20X7, Alpha entered into a firm commitment to purchase a large machine from an overseas supplier on 31 March 20X8, agreeing to pay in dinars, the functional currency of the supplier. On 30 September 20X7, Alpha entered into a derivative contract with a bank in order to provide protection against possible future currency movements between the \$ and the dinar. This derivative contract was an effective hedge.

On 31 December 20X7, the derivative had a positive fair value of \$22 million. The directors of Alpha correctly applied the relevant provisions of IFRS 9 Financial Instruments to this transaction in the financial statements for the year ended 31 December 20X7.

On 31 March 20X8, the derivative had a positive fair value of \$32 million. On 31 March 20X8, the bank made a cash payment of \$32 million to Alpha. The only accounting in the current year by Alpha has been to debit cash with \$32 million and credit the derivative asset with \$22 million and credit \$10 million to profit or loss.

You do not need to consider the adjustment to property, plant and equipment for any depreciation on the purchased asset.

Requirement (25 marks)

Using exhibits 1-5, and the pre-populated spreadsheet response option, prepare the consolidated statement of financial position of Alpha as at 31 December 20X8.

Notes:

- No written explanations of consolidation adjustments are required. Marks will not be awarded for explanations.
- Unless specifically referred to in the question you do not need to consider the deferred tax effects of any adjustments you make.
- You should show all workings to the nearest \$'000.

(25 marks)

Delta, a listed entity, prepares financial statements to 31 December each year. You are a trainee accountant employed by Delta. One of your key responsibilities is to prepare the first draft of Delta's published financial statements. One of the directors of Delta has contacted you by email regarding the financial statements for the year ended 31 December 20X8. You are unsure how to respond to some of the issues raised by this director so you have asked a friend for advice. Your friend is a qualified accountant not employed by Delta.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Email – an email from the director.
2. Attachment 1 to the email – details information relating to the treatment of a share-based payment plan.
3. Attachment 2 to the email – details information relating to the lease of new business premises.

This information should be used to answer the question requirements within your chosen response option(s).

1. Email

To: Trainee accountant
From: A director
Subject: Financial statement preparation
Date: 15 January 20X9

It is very important that the upcoming set of financial results show a favourable financial performance as we will shortly be seeking new finance in the form of a share issue. Since you are a trainee accountant, there are certain transactions affecting Delta which you may be unsure how to report in the financial statements. I have therefore attached details of two separate transactions to this email. I have outlined the transactions concerned and the manner in which I would like you to report them in the financial statements. The methods I have chosen will ensure that our profits are maximised. This will benefit Delta and ensure a successful share issue.

I would like you to follow my instructions and on no account to discuss them with anyone else. The level of profits which will be reported if you follow my instructions will ensure that a healthy bonus will be payable to all staff, including you. I also should remind you I will be conducting your annual performance appraisal which is due shortly after the financial statements are published.

2. Attachment 1 to the email

You will be aware that on 1 January 20X7, Delta entered into a share option arrangement with all employees. Each employee was granted options to buy 1,000 shares at a price of \$12 per share on 31 December 20X9 provided the employee remained in employment until 31 December 20X9. 800 employees were granted options of this nature. When we granted the options, we thought that 20 employees would leave employment in the three-year period and so would not be entitled to the options. The following information on employees is relevant:

-During 20X7, 10 employees left and on 31 December 20X7, we estimated that a further 15 employees would leave in the two-year period from 1 January 20X8 to 31 December 20X9.

–During 20X8, eight employees left and on 31 December 20X8, we estimated that a further nine employees would leave in 20X9.

We made no accounting entries of any kind in respect of this arrangement in the financial statements for the year ended 31 December 20X7 on the basis that there will be no cash cost to Delta, simply a share issue. This share issue will not occur until shortly after 31 December 20X9 and can be ignored until then. I do not want any entries in the financial statements for the year ended 31 December 20X8 either.

You will note from the documentation relating to this arrangement that the fair values of these share options have varied in the two years since they were granted as follows:

–Fair value of an option on 1 January 20X7 = \$2.40

–Fair value of an option on 31 December 20X7 = \$2.80

–Fair value of an option on 31 December 20X8 = \$3.00

You can ignore the information regarding the fair value of share options though. I have already said I do not want any accounting entries made in respect of this arrangement, even though the potential share issue associated with these options is likely to be a material matter for us in both of the years ended 31 December 20X7 and 20X8. I consider this a matter of judgement and not an error.

(12 marks)

3. Attachment 2 to the email

You probably heard that in the current year we leased new business premises. Further details of the agreement, and the accounting treatment I want you to adopt, are given below:

Details of lease agreement

Under this agreement, we entered into a 25-year lease of the premises, beginning on 1 July 20X8. Lease rentals of \$250,000 per annum are payable annually in arrears. We incurred direct costs of \$130,000 in arranging this lease. There is no need to charge any rental expense in the year to 31 December 20X8 since the first lease payment is not due until 30 June 20X9. I want you to show the arrangement costs of \$130,000 as a prepayment in the financial statements for the year ended 31 December 20X8. We will charge these to expenses once we start paying rentals.

The lease agreement states that the rate of interest implicit in this lease is 8% per annum and that the cumulative present value of an annual amount of \$1 payable in arrears for each of the next 25 years is \$10.68. You can ignore all that legal jargon though.

(9 marks)

Requirement (25 marks)

(a) Using the information in exhibits 2 and 3, explain and show how the transactions described there should be accounted for in the financial statements of Delta for the year ended 31 December 20X8.

Notes:

- Marks will be awarded for BOTH figures AND explanations.
- The mark allocations are indicated in each exhibit.
- Where your proposed treatment differs from that suggested by the director you should specifically comment on the reasons for this.

(21 marks)

(b) Using the information in exhibit 1, identify and explain the ethical issues that confront you as a result of the email sent to you from the director and for which you have sought advice from your friend, who is not an employee of Delta.

(4 marks)

3 of 4

Epsilon prepares financial statements to 30 September each year. You are Epsilon's financial controller and are responsible for preparing the financial statements for the latest year ended 30 September 20X6. The financial statements are due to be authorised for issue on 30 November 20X6.

One of the trainee accountants who reports to the financial controller is unsure how to decide whether potential liabilities should be recognised in the financial statements, disclosed in the notes to the financial statements, or ignored on the basis that the likelihood of their occurrence is remote.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Memorandum – a memorandum from a trainee accountant requesting information about the recognition, measurement and disclosure of potential liabilities.
2. Recent transactions – provides details of transactions for which potential liabilities may need to be recognised and/or disclosed.

This information should be used to answer the question requirements within your chosen response option(s).

1. Memorandum

Memorandum

To: Financial controller
From: Trainee accountant
Subject: Financial statements
Date: 28 October 20X6

I know that many liabilities, for example, trade payables and loans, clearly need to be recognised in the financial statements and can be measured reliably and easily. However, there are other potential liabilities, for example, potential legal claims, where the likelihood of an actual payment is subject to a significant amount of uncertainty. In addition to this, there is also sometimes the issue of the measurement of any potential payment. I feel sure there must be an IFRS Accounting Standard which addresses these issues. Specifically I have the following queries:

- (i) Is there a specific IFRS Accounting Standard which deals with the issue of 'potential liabilities' and if so, how does it distinguish 'potential liabilities' from liabilities like trade payables and loans?
- (ii) What are the conditions which must be in place before a potential liability is recognised in the financial statements and how is it measured?
- (iii) How should a potential liability be measured at initial recognition and would timing of settlement of the liability affect this measurement?
- (iv) When a potential liability is recognised, the credit always goes to liabilities and the debit normally goes to profit or loss. Are there any circumstances where the debit is dealt with in some other way?
- (v) If a potential liability is not recognised, is there an alternative treatment for the financial statements which will inform users of its existence and possible impact?
- (vi) What are the rules for recognising potential assets? Are they the mirror image of the rules for recognising potential liabilities?

If you can help me with these queries, I would be very grateful.

(9 marks)

2. Recent transaction

(a) On 1 April 20X5, Epsilon purchased some land for \$20 million. Epsilon intended to use the land to construct a copper mine. In the six months from 1 April 20X5 to 30 September 20X5, Epsilon constructed a copper mine on the land at a total cost of \$12 million. The construction process was completed by 30 September 20X5 and Epsilon began to extract copper from the mine on 1 October 20X5 and was operational for the year to 30 September 20X6.

The directors of Epsilon estimated that copper could be extracted from the mine for a 20-year period from 1 October 20X5.

On 1 April 20X5, Epsilon had purchased a licence which allowed the extraction of copper from the site from the date the copper mine was completed and operational. The cost of the licence was \$4 million.

A condition of the licence, which has stringent environmental clean-up requirements, was that at the end of the extraction period Epsilon should dismantle the mine and restore the land to its original condition. The land would then be suitable to be sold to a third party for property development if the clean-up is done to the required standards. The directors of Epsilon plan to meet these standards and have estimated that the total cost of the dismantling and restoration, payable at the end of the extraction process, would be \$10 million.

A suitable annual rate to use in any discounting calculations is 6%. The present value of \$1 payable in 20 years time at a discount rate of 6% is 31.2 cents.

(b) On 25 October 20X6, Epsilon received notice of a legal claim made by Customer C for loss of profits allegedly due to the supply of faulty goods by Epsilon to Customer C on 30 June 20X6. The amount claimed by Customer C was \$8 million. The directors of Epsilon have estimated the following outcomes in respect of this legal claim:

– A 30% chance the claim will not succeed.

– A 50% chance the claim will succeed and Customer C will be awarded damages of \$5 million.

– A 20% chance the claim will succeed and Customer C will be awarded damages of \$8 million.

Legal costs related to the claim are estimated to be \$1 million. Any settlement of the claim is likely to be made before 30 June 20X7. These estimates can be considered to be reliable as the directors took expert legal advice.

In the event of the claim succeeding, the directors of Epsilon are confident that amounts paid out, including legal costs, will be covered by its insurers and will have no impact on the going concern status of Epsilon. Negotiations with the insurers have started but have not yet reached a conclusion. The financial statements are due to be authorised for issue on 30 November 20X6.

(16 marks)

Requirement (25 marks)

(a) Using the information in exhibit 1, draft a reply to the memorandum from the trainee accountant.

(b) Using the information in exhibit 2, explain and show how these transactions should be accounted for and reported in the financial statements of Epsilon for the year ended 30 September 20X6.

Notes:

- The mark allocations are indicated in each exhibit.
- In requirement (b) marks will be awarded for BOTH figures AND explanations.
- You can ignore the taxation effects of the transactions.

(25 marks)

You are the financial controller of Omega, a listed entity with a number of subsidiaries. Omega prepares financial statements to 30 September each year. One of Omega's trainee accountants, is responsible for preparing the first draft of the consolidated financial statement for the year ended 30 September 20X5. The trainee accountant has raised a series of questions relating to those financial statements.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Segment disclosures – raises questions about the consistency of disclosures of operating segments in the financial statements of group entities.
2. Financial assets – raises questions on how Omega measures financial assets in its financial statements.
3. Contracts – questions how Omega recognises revenue on construction contracts when the overall price and costs are uncertain.

This information should be used to answer the question requirement within the response option provided.

1. Segment disclosures

I know that we are required to disclose details of the financial performance and financial position of different business segments in the notes to our consolidated financial statements.

You will be aware that during the current financial period we acquired two new subsidiaries, Iota and Kappa. Both are unlisted and are very similar in terms of levels of profit and net assets. I thought it would be interesting to compare the segment disclosures made by Iota and Kappa in their own individual financial statements with the disclosures which we make in our consolidated financial statements.

When I did this, I found myself very confused and noted:

– Omega's segmental disclosures appear to be based on the financial performance and position by geographical area.

– Iota's disclosures appear to be based on the financial performance and position by product type.

– Kappa does not appear to be providing any segmental disclosures at all.

Both Iota and Kappa prepare their financial statements in accordance with IFRS Accounting Standards, as Omega does. How can there be different approaches to segmental disclosures in three sets of financial statements, all of which purport to be prepared in accordance with IFRS Accounting Standards?

(7 marks)

2. Financial assets

The trainee accountant is confused by the treatment of financial assets in Omega's financial statements. The notes to the financial statements from previous periods state that Omega measures some financial assets at 'fair value' and some at 'amortised cost'. Where financial assets are measured at fair value, it appears that some fair value changes are recognised in profit or loss whilst others are recognised in other comprehensive income.

Please answer the following questions to assist the trainee accountant:

- (i) What do we mean by the term 'financial asset'?
 - (ii) Is 'fair value' the same as resale value?
 - (iii) What is meant by the term 'amortised cost'?
 - (iv) Is there a choice of using either fair value or amortised cost to measure financial assets and how do entities decide which measurement basis to use?
 - (v) If fair value is used, how do entities decide whether changes in fair value are recognised in profit or loss, or in other comprehensive income?
- (10 marks)

3. Contracts

A number of Omega's subsidiaries enter into contracts with customers to construct assets for the use by those customers. The ultimate amount receivable from the customer often depends on the speed of completion of the construction to an agreed standard. Additional uncertainty is sometimes caused by offering the customer a discount if the customer pays within a specified time period.

Could you address the following queries on the accounting for these construction contracts?

- (i) When should revenue be recognised for a construction contract – should Omega wait until the construction is complete before recognising any revenue?
- (ii) Should the timing of recognition of costs of the contract follow the same pattern as the recognition of the revenue or should we simply debit the costs incurred to date to cost of sales?
- (iii) What do we do if we assess a contract is likely to be loss making?
- (iv) Does Omega need to wait until we know the precise amount to be received before recognising any revenue?

Note: You should only apply the IFRS 15 five model where relevant.

(8 marks)

Requirement (25 marks)

Provide answers to the queries raised by the trainee accountant relating to the consolidated financial statements for the year ended 30 September 20X5. The queries you need to address appear in exhibits 1 -3. You should justify your answers with reference to relevant IFRS Accounting Standards.

Notes:

- The mark allocations are indicated in each exhibit.

- References to IFRS Accounting Standards will only attract marks if they are relevant to the specific questions the trainee accountant has asked.
- (25 marks)

Answers

1 Consolidated statement of financial position of Alpha at 31 December 20X8
[all numbers in '000]

	\$'000
Assets	
Non-current assets	
Property, plant and equipment (W7)	732,500
Goodwill (W2)	33,900
Intangible asset (W1)	21,000
	<u>787,400</u>
Current assets	
Inventories (125,000 + 90,000 – 5,000 (W5))	210,000
Trade receivables (100,000 + 80,000)	180,000
Cash and cash equivalents (40,000 + 30,000)	70,000
	<u>460,000</u>
Total assets	<u><u>1,247,400</u></u>
Equity and liabilities	
Equity attributable to equity holders of the parent	
Share capital (\$1 shares)	200,000
Retained earnings (W5)	291,700
Other components of equity (W6)	65,500
	<u>560,200</u>
Non-controlling interest (W4)	65,100
Total equity	<u>625,300</u>
Non-current liabilities	
Long-term borrowings (150,000 + 60,000)	210,000
Deferred tax (W8)	145,100
Total non-current liabilities	<u>355,100</u>
Current liabilities	
Trade and other payables (90,000 + 80,000)	170,000
Current tax payable (60,000 + 40,000)	100,000
Total current liabilities	<u>270,000</u>
Total liabilities	<u>625,100</u>
Total equity and liabilities	<u><u>1,247,400</u></u>

Workings (all numbers in \$'000)

Working 1 – Net assets table for Beta

	1 January 20X6 \$'000	31 December 20X8 \$'000
Per financial statements of Beta		
Share capital	120,000	120,000
Retained earnings:	35,000	85,000
Fair value adjustments:		
Property, plant and equipment (post-acquisition additional depreciation = 18,000 x 1/4 x 3 = 13,500)	18,000	4,500
Brand (post-acquisition amortisation = 30,000 x 1/10 x 3 = 9,000)	30,000	21,000
Deferred tax on fair value adjustments (20%)	(9,600)	(5,100)
Other components of equity	25,000	35,000
Net assets for the consolidation	<u>218,400</u>	<u>260,400</u>

Increase in net assets (260,400 – 218,400) = 42,000. 10,000 of this relates to other components of equity and the balance of 32,000 (42,000 – 10,000) to retained earnings.

Note: Marks for the split awarded in W5 and W6.

Working 2 – Goodwill on acquisition of Beta

	\$'000
Cost of investment	207,900
Non-controlling interest at date of acquisition (218,400 (W1) x 25%)	54,600
Net assets at date of acquisition (W1)	(218,400)
	<u>44,100</u>
Impairment at 31 December 20X8 (W3)	(10,200)
Goodwill at 31 December 20X8	<u>33,900</u>

Working 3 – Impairment of Beta Goodwill

	\$'000
	Total
Net assets of Beta at 31 December 20X8	260,400
Grossed up goodwill (44,100 x 100/75)	58,800
	<u>319,200</u>
Recoverable amount (higher of VIU and FVLCD)	305,600
So gross impairment equals	13,600
Group share only recognised	<u>10,200</u>

Working 4 – Non-controlling interest in Beta

	\$'000
At date of acquisition (W2)	54,600
25% of post-acquisition increase in net assets (25% x 42,000 (W1))	10,500
	<u>65,100</u>

Working 5 – Retained earnings

	\$'000
Alpha – per draft SOFP	295,000
75% of post-acquisition share of Beta (75% x 32,000 (W1))	24,000
Unrealised profit on sales to Beta (20,000 x 1/4)	(5,000)
Acquisition costs of Beta	(2,100)
Impairment of Beta goodwill (W4)	(10,200)
Reversal of profit on de-recognition of derivative	(10,000)
	<u>291,700</u>

Working 6 – Other components of equity

	\$'000
Alpha – per draft SOFP	80,000
75% of post-acquisition share of Beta (75% x 10,000 (W1))	7,500
20X7 derivative gain set against the cost of hedged PPE	(22,000)
	<u>65,500</u>

Working 7 – Property, plant and equipment

	\$'000
Alpha + Beta (per own financial statements – 500,000 + 260,000)	760,000
Fair value adjustment (W1)	4,500
Gain on hedging derivative set against cost	(32,000)
	<u>732,500</u>

Working 8 – Deferred tax

	\$'000
Alpha + Beta (per own financial statements – 100,000 + 40,000)	140,000
Deferred tax on fair value adjustments (W1)	5,100
	<u>145,100</u>

2 (a) Attachment 1 to the email

The relevant standard is **IFRS 2 – Share-based Payment**. Under the principles of IFRS 2, the arrangement is an **equity settled share-based payment** since it potentially involves the issue of equity instruments.

IFRS 2 states that where equity settled share-based awards are made to employees, then they are effectively **employee remuneration**. The cost of the awards should be recognised in **profit or loss as an operating expense**.

Where the award is dependent on the future actions of the employee (in this case whether or not they remain in employment over the three-year period ending on 31 December 20X9), then the award is subject to a **vesting condition**.

IFRS 2 states that the cost of the award should be recognised in profit or loss over the vesting period based on the number of awards which are expected to vest in the employees at the end of the vesting period.

During 20X7 and 20X8, a total of 18 employees (10 + 8) left employment and forfeited their rights to the options.

A further nine employees are expected to leave employment in 20X9, so the total number of employees who are expected to ultimately become entitled to exercise the options measured at 31 December 20X8 is 773 (800 – 18 – 9).

The appropriate fair value measure to use to measure the value of the award is the fair value of the option at the **grant date**. Therefore the total expected cost of the award is **\$1,855,200** (773 x \$2.40 x 1,000).

IFRS 2 states that the cost of the award should be recognised over the vesting period. This means that the cumulative cost which should have been recognised in profit or loss up to 31 December 20X8 is **\$1,236,800** (\$1,855,200 x 2/3).

The credit entry which is required when the cost is debited to profit or loss is to equity. IFRS 2 does not specify a designation for this component of equity, in practice it is often described as a 'share option reserve'.

The financial statements for the year ended 31 December 20X7 should have included appropriate amounts relating to this option award. They therefore contained an error which had a material impact on those statements.

Reporting of errors of this nature is governed by **IAS 8 – Accounting Policies, Changes in Accounting Estimates and Errors**.

IAS 8 states that the impact of material errors in the financial statements of previous periods should be recognised **retrospectively** in the financial statements of the current period. In practice, this involves **computing the impact of the error and recognising it by making an appropriate adjustment to opening equity**.

When the financial statements for the year ended 31 December 20X7 were prepared, the directors should have estimated that 25 employees (10 + 15) would leave over the three-year vesting period and **775** (800 – 25) would become entitled to the awards.

The cost which should have been debited to profit or loss and credited to equity in the financial statements for the year ended 31 December 20X7 should have been \$620,000 (775 x \$2.40 x 1,000 x 1/3).

Therefore, in the financial statements for the year ended 31 December 20X8, an adjustment to opening equity should have been made, debiting retained earnings with \$620,000 and crediting a share option reserve or similar component with \$620,000.

The statement of profit or loss for the year ended 31 December 20X8 should include an employee remuneration expense of **\$616,800** (\$1,236,800 – \$620,000).

The closing balance on the share option reserve (or similar) will be \$1,236,800.

Spreadsheet working for share-based payment amounts

Date	Expected options vesting on 31 December 20X9	Total expected cost (FV at grant date \$2.40)	Cost to date	Movement
		\$	\$	\$
31 December 20X7	775,000 [775 (800 – 10 – 15) x 1,000]	1,860,000	620,000	620,000
31 December 20X8	773,000 [773 (800 – 18 – 9) x 1,000]	1,855,200	1,236,800	616,800

(b) Attachment 2 to the email

The relevant standard is **IFRS 16 – Leases**. In the scenario described here, Delta is the lessee.

The general requirements of IFRS 16 are that, at the commencement of a lease, the lessee should recognise a lease liability equal to the present value of the lease payments not paid at the date.

As far as the lease of the business premises is concerned, this liability should be \$2,670,000 (\$250,000 x 10.68).

IFRS 16 also requires recognition of a right-of-use (ROU) asset, equal to the present value of the lease payments (the initial measurement of the lease liability) plus any initial direct costs incurred by the lessee. These initial direct costs do not form part of the opening lease liability.

As far as the lease of the business premises is concerned, this ROU asset should be \$2,800,000 (\$2,670,000 + \$130,000). The prepayment will therefore be derecognised and the \$130,000 transferred to the ROU asset.

The lease liability will attract a **finance cost**. For the year ended 31 December 20X8, this cost will be **\$106,800** (\$2,670,000 x 8% x 6/12).

The closing lease liability will be **\$2,776,800** (\$2,670,000 + \$106,800).

\$2,633,600 (W1) of this liability will be non-current and the balance of **\$143,200** (\$2,776,800 – \$2,633,600) will be current.

The right of use asset will be **depreciated over the 25-year lease term**, so the depreciation for the year ended 31 December 20X8 will be \$56,000 (\$2,800,000 x 1/25 x 6/12).

The closing balance of the right of use asset will be **\$2,744,000** (\$2,800,000 – \$56,000). This will be shown as a non-current asset.

W1 – Spreadsheet workings: non-current lease liability at 31 December 20X8

	\$
Liability at 1 January 20X9	2,776,800
Finance cost to 30 June 20X9	106,800
Rental payment on 30 June 20X9	(250,000)
Liability at 30 June 20X9	<u>2,633,600</u>

Tutorial note: As an alternative to computing the non-current element of the lease liability and inserting the current element as the balancing figure, candidates could have focused on the computation of the current element and the insertion of the non-current element as the balancing figure. This would be done as follows:

	\$
Rental payment due on 30 June 20X9	250,000
Deduct: finance cost from 1 January 20X9 to 30 June 20X9 (not part of closing liability at 1 January 20X9)	<u>(106,800)</u>
So current liability at 31 December 20X8 equals	<u>143,200</u>

Candidates who adopt this approach will receive full credit.

(c) Ethical issue – Email from director

You are in danger of breaching the fundamental ethical principle of integrity. The director has suggested that you collude in the reporting of an inflated profit figure and, as a result, share in a profit-related bonus (*candidates who refer to a self-interest threat here will receive appropriate credit*).

You face a danger of breaching the principle of objectivity because of the way the director has linked your complying with these instructions to your upcoming staff appraisal (*candidates who refer to an intimidation threat here will receive appropriate credit*).

You also may be breaching the fundamental ethical principle of professional competence and due care. The treatments suggested by the director are clearly inappropriate and not in compliance with IFRS Accounting Standards. Were you to implement them, you would be in breach of your professional duty to conduct yourself in a competent manner.

Your decision to discuss these issues with your friend, who is not employed by Delta, means that you are in danger of breaching the fundamental ethical principle of confidentiality.

3 Exhibit 1 – Memorandum

To: Trainee accountant
From: Financial controller

- (i) **Is there a specific IFRS Accounting Standard which deals with the issue of 'potential liabilities' and if so, how does it distinguish 'potential liabilities' from liabilities like trade payables and loans?**

There is an IFRS Accounting Standard which deals with the measurement and disclosure of potential liabilities and assets. The standard is IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.

IAS 37 defines a liability as a present obligation arising from past events the settlement of which is expected to result in an outflow of resources embodying economic benefits and defines a provision as a **liability of uncertain timing or amount**. This distinguishes provisions (potential liabilities) from trade payables and loans where there is no uncertainty.

- (ii) **What are the conditions which must be in place before a potential liability is recognised in the financial statements and how is it measured?**

IAS 37 states that, in order for a provision to be recognised, the reporting entity needs to have a **present obligation** (legal or constructive) arising out of a **past event** which is expected to lead to an **outflow of resources embodying economic benefits to settle the obligation** and a **reliable estimate** can be made of the obligation.

- (iii) *How should a potential liability be measured at initial recognition and would timing of settlement of the liability affect this measurement?*

IAS 37 further states that, when a provision is recognised, it is measured at the amount the entity would pay to settle the obligation at the end of the reporting period.

Where the obligation is not expected to be settled until a significant time period has elapsed (usually more than 12 months), then the **time value of money** should be taken into account and the provision should be measured at the **present value** of the expected future outflow of economic benefits.

As the date for settlement of the liability draws closer, the present value of the expected future outflow increases and so does the measurement of the liability. This increase in the measurement is shown as a finance cost in the statement of profit or loss.

- (iv) *When a potential liability is recognised, the credit always goes to liabilities and the debit normally goes to profit or loss. Are there any circumstances where the debit is dealt with in some other way?*

Where a provision is recognised, the debit entry is **not** always to profit or loss. **For example**, when a new mine or oil rig is opened with an associated obligation for future environmental clean-up, then the associated provision is shown as part of the **cost of the relevant asset** (debited to PPE).

- (v) *If a potential liability is not recognised, is there an alternative treatment for the financial statements which will inform users of its existence and possible impact?*

A potential liability which is not recognised, either because the potential obligation is possible, but not probable, or because the potential outflow of economic benefits is possible, but not probable, is known as a contingent liability.

Details of contingent liabilities are **disclosed in the notes** to the financial statements. This would not apply if the possibility of an outflow of economic benefits was **remote**, in which case no disclosure is required.

The disclosure note for a contingent liability should, where practicable, estimate the financial effect, indicate the uncertainties relating to the amount or timing and the possibility of any reimbursement.

- (vi) *What are the rules for recognising potential assets? Are they the mirror image of the rules for recognising potential liabilities?*

The treatment of potential assets is **not** the mirror image of the treatment of potential liabilities. Potential assets are only recognised in the financial statements if they are **virtually certain** to be realised.

IAS 37 defines a contingent asset as a possible asset which arises from past events, and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

The existence of contingent assets should be disclosed where an inflow of economic benefits is probable.

Exhibit 2 – Transactions

Transaction (a)

The purchase of the land for \$20 million, and the cost of constructing the mine of \$12 million, would be classified as property, plant and equipment (PPE) in the financial statements of Epsilon, in accordance with **IAS 16 – Property, Plant and Equipment**. Therefore **\$32 million** would be included in PPE.

On 1 October 20X5, Epsilon **would need to recognise a provision** for the cost of restoring the site in 20 years' time. The provision recognised would be the **present value** of the future amount expected to be paid. In this case, the amount recognised would be **\$3.12 million** (\$10 million x 0.312).

This amount would be added to the carrying amount of the PPE to give a total carrying amount of **\$35.12 million** at 1 October 20X5.

The PPE would be **depreciated** over its expected useful life of 20 years. The land element would **not** be depreciated **because** its useful life is expected to be indefinite (it can be sold on for development purposes at the end of the 20-year period). Therefore the depreciation charged to profit or loss in the year ended 30 September 20X6 would be **\$756,000** [(\$35.12 million – \$20 million) x 1/20].

The closing carrying amount of the PPE would be **\$34.364 million** (\$35.12 million – \$756,000). This would be shown as a **non-current asset** in the statement of financial position at 30 September 20X6.

The licence to extract minerals would be regarded as an intangible asset in accordance with the provisions of **IAS 38 Intangible Assets**. The cost can be recognised in the financial statements since it is a **separately purchased** intangible asset.

IAS 38 requires that intangible assets with finite useful lives are **amortised** over their expected lives. The amortisation would begin from the date the licence began to generate economic benefits for Epsilon – 1 **October** 20X5. In this case, the amortisation of the licence for the year ended 30 September 20X6 would be \$200,000 (\$4 million x 1/20). **\$200,000** would be charged to **profit or loss** for the year ended 30 September 20X6.

The balance of the intangible asset at 30 September 20X6 would be **\$3.8 million** (\$4 million – \$200,000). This would be shown as a **non-current asset** in the statement of financial position at 30 September 20X6.

As the date for settlement of the restoration liability draws closer, the measurement of the provision changes as the discount **unwinds**. The unwinding of the discount for the year ended 30 September 20X6 would be **\$187,200** (\$3.12 million x 6%). This will be shown as a **finance cost in the statement of profit or loss**.

The closing balance of the provision will be \$3,307,200 (\$3.12 million + \$187,200). This will be shown as a **non-current liability** in the statement of financial position at 30 September 20X6.

Spreadsheet workings for Transaction (a)

Working 1. Property, plant and equipment (PPE)

	\$m
Land cost	20
Construction cost	12
Environmental provision (W3)	3.12
Total PPE cost	35.12
Depreciation $[(35.12 - 20) \times 1/20]$	(0.756)
Carrying amount at 30 September 20X6	34.364

Working 2. Intangible asset

	\$m
Cost of licence	4
Amortisation (1/20)	(0.2)
Carrying amount at 30 September 20X6	3.8

Working 3. Provision

	\$'000
Opening provision	3,120
Unwinding of discount (finance cost) at 6%	187.2
Closing provision	3,307.2

Transaction (b)

The information received about the legal claim was received **after the year end but before the financial statements are due to be authorised for issue**. Therefore the provisions of **IAS 10 Events after the Reporting Period** are relevant to this issue.

Since the legal claim relates to the alleged supply of faulty goods on 30 June 20X6, it refers to a condition **existing at the reporting date** and would be regarded as an **adjusting event** under the provisions of IAS 10. Therefore, if the conditions of IAS 37 are satisfied, a liability should be recognised.

Based on the information in the question, there is a 70% probability the claim will succeed, so a provision for the likely cost of the claim, plus the associated legal costs, will be appropriate.

Where there is uncertainty regarding the exact amount of the outflow of economic benefits and there are a finite number of discrete possibilities, IAS 37 requires that the individual most likely outcome be recognised as a provision.

Therefore in this case, a provision of **\$6 million** (\$5 million + \$1 million) should be recognised as a **current liability** in the statement of financial position at 30 September 20X6 and an expense in the statement of profit or loss.

Under the provisions of IAS 37, the potential recovery from the insurers is a contingent asset because the outcome of the negotiations with the insurance company is uncertain.

This means that **no asset** should be recognised in respect of this potential asset but **disclosure** of its existence is appropriate because the directors are **confident** it will be paid.

4 Exhibit 1 – Segment disclosures

The accounting standard which is relevant here is **IFRS 8 – Operating Segments**. IFRS 8 requires entities to which it applies to provide segmental disclosures based on its **operating segments**.

IFRS 8 is only compulsory for **listed entities**. Unlisted entities may choose to provide segmental disclosures but if they do so, these disclosures must be made in accordance with the requirements of IFRS 8. This **probably explains** why Iota provides segmental disclosures but Kappa does not.

IFRS 8 defines an operating segment as a business component for which discrete financial information is available and whose operating results are regularly reviewed by the chief operating decision maker.

The chief operating decision maker is the person (or persons) who assesses performance and allocates resources.

It would appear that Omega assesses performance and allocates resources on a geographical basis whereas Iota does this on a 'product type' basis (*mark for coming to a logical conclusion*).

Notwithstanding the above, IFRS 8 normally requires all entities to give details of revenues by geographical area and by product type and non-current assets by geographical area.

However, the geographical area disclosure is not required if the information could only be made available at an **excessive cost**. This fact, however, must be disclosed.

This would appear to explain the discrepancy between our segmental disclosures and those of Iota.

Exhibit 2 – Financial assets

(i) *What do we mean by the term ‘financial asset’?*

A financial asset is defined in **IAS 32 – Financial Instruments: Presentation**. IAS 32 defines a financial asset as:

- **Cash.**
- An **equity instrument** of another entity.
- A **contractual right** to receive cash.
- A contractual right to **exchange financial assets or liabilities under potentially favourable conditions**.

(ii) *Is ‘fair value’ the same as resale value?*

The accounting standard which is relevant to the measurement of fair values is **IFRS 13 Fair Value Measurement**. IFRS 13 states that the fair value of an asset is the **amount which could be expected to be received to sell an asset** in an orderly transaction between market participants at the measurement date.

(iii) *What is meant by the term ‘amortised cost’?*

Amortised cost is defined in **IFRS 9 – Financial Instruments**. IFRS 9 defines amortised cost as **the amount at which the financial asset is measured at initial recognition plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount** and, for financial assets, adjusted for any loss allowance.

Any difference is interest income. This income is recognised at a rate which exactly discounts the estimated future cash receipts to the initially recognised amount of the financial asset.

(iv) *Is there a choice of using either fair value or amortised cost to measure financial assets and how do entities decide which measurement basis to use?*

Under IFRS 9, the method of measuring financial assets depends on how they are **classified**. IFRS 9 refers to three classifications:

Fair value through profit or loss

Fair value through other comprehensive income

Amortised cost

IFRS 9 states that a financial asset should be classified at amortised cost if **two** conditions are met:

- (i) The reason (**business model**) for holding the financial asset is to collect the contractual cash flows expected to arise from the asset.
- (ii) The **contractual terms** of the financial asset give rise on specified dates to cash flows which are solely receipts of principal and interest on the amounts outstanding.

If the business model has as an objective to **both** collect the contractual cash flows and to sell the financial asset **and** the contractual terms of the financial asset give rise on specified dates to cash flows which are solely receipts of principal and interest on the amounts outstanding, then the financial asset should be measured at **fair value through other comprehensive income**.

(v) *If fair value is used, how do entities decide whether changes in fair value are recognised in profit or loss or in other comprehensive income?*

Where the financial asset is an **equity instrument** which is **not held for trading**, then it is possible to make an **irrevocable election** at the date of initial recognition to use **fair value through other comprehensive income** as the measurement basis.

Any **other** financial assets which are an equity instrument should be measured at **fair value through profit or loss**.

Notwithstanding the above, IFRS 9 allows entities to **irrevocably designate at the date of initial recognition any financial asset at fair value through profit or loss to reduce a measurement inconsistency**.

Exhibit 3 – Contracts

(i) *When should revenue be recognised for a construction contract – should Omega wait until the construction is complete before recognising any revenue?*

The recognition of revenue and costs relating to construction contracts is regulated by the provisions of **IFRS 15 Revenue from Contracts with Customers**. IFRS 15 states that contracts with customers create **performance obligations**. IFRS 15 states that, as a general principle, revenue should be recognised **as performance obligations are satisfied**.

IFRS 15 recognises that performance obligations are either recognised at a particular point in time or over a period of time. In the case of construction contracts, performance obligations are recognised over a period of time. Therefore revenue should be recognised over a period of time as the performance obligation is satisfied.

- (ii) *Should the timing of recognition of costs of the contract follow the same pattern as the recognition of the revenue or should we simply debit the costs incurred to date to cost of sales?*

IFRS 15 does not specify a precise method of measurement of the extent of completion of a performance obligation which is satisfied over time. However, IFRS 15 **does** provide guidance regarding methods which may be suitable. Suitable methods are broadly categorised as either **output** methods (proportion of the total value of the contract completed) or **input** methods (proportion of the total expected costs of the contract incurred). Once a suitable method is decided upon, it should be applied **consistently** to contracts of a similar type.

IFRS 15 states if the criteria are met, then the direct costs of fulfilling the performance obligations relating to a construction contract should initially be recognised as an asset but then amortised (taken to cost of sales) in a manner which is consistent with the recognition of revenue on the contract.

- (iii) *What do we do if we assess a contract is likely to be loss making?*

If, for a particular contract, the future anticipated revenue to be recognised is less than the future expected costs (loss making), then an impairment loss equal to that difference should be recognised in profit or loss immediately.

In the above circumstances, the contract would be regarded as an onerous contract in accordance with the principles of IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*. IAS 37 would require recognition of the future net cost of fulfilling the contract.

- (iv) *Does Omega need to wait until we know the precise amount to be received before recognising any revenue?*

IFRS 15 recognises that, for some contracts, the amount receivable will contain a **fixed** and a **variable** element and therefore the precise amount may not be known when the contract is agreed.

IFRS 15 does **not** specify a single method of measurement of variable consideration. IFRS 15 states that either the **expected value method** (using probabilities) or the **single most likely method** should be used. Once a suitable method is decided upon, it should be applied **consistently** throughout the contract.

	<i>Marks</i>
1 Consolidated statement of financial position	
Non-current assets	
– PPE	2
– Goodwill	8
– Intangible asset	0.5
Current assets	2
Equity	
– Share capital and other components of equity	2.5
– Retained earnings	6.5
– Non-controlling interest	1
Non-current liabilities	
– Long-term borrowings	0.5
– Deferred tax	1
Current liabilities	1
	25
2 (a)	
– Explanations per IFRS 2	4
– Calculations	4
– Explanations per IAS 8	2
– Calculations	2
	12
(b)	
– Explanations per IFRS 16	4
– Calculations	5
	9
(c) Ethics	4
	25
3 Exhibit 1	
– Reply to memorandum per IAS 37	9
Exhibit 2	
Transaction (a)	
– Explanations IAS 16	2
– Calculations	2
– Explanation per IAS 37	1
– Calculations	2
– Explanation per IAS 38	3
– Calculations	1
–	11
Transaction (b)	
– Explanations IAS 10	1.5
– Explanations IAS 37	3
– Calculations	0.5
	5
	25

	<i>Marks</i>
4 Exhibit 1	
Explanations per IFRS 8	<u>7</u>
Exhibit 2	
Explanations per IAS 32	1
Explanations per IFRS 13	1
Explanations per IFRS 9	<u>8</u>
	<u>10</u>
Exhibit 3	
Explanations per IFRS 15	6·5
Explanations IAS 37	<u>1·5</u>
	<u>8</u>
	<u>25</u>